

doubt if such exceptions can prudently include any unseasoned industrial preferred stocks, because of the contractual weakness of such issues. (In the case of Congoleum preferred, described above, the company was of dominant size in its field, and the preferred stock was not so much "unseasoned" as it was inactive marketwise.)

Discrepancies in Comparative Prices. Comparisons may or may not be odious, but they hold a somewhat deceptive fascination for the analyst. It seems a much simpler process to decide that issue *A* is preferable to issue *B* than to determine that issue *A* is an attractive purchase in its own right. But in our chapter on comparative analysis we have alluded to the particular responsibility that attaches to the recommendation of security exchanges, and we have warned against an overready acceptance of a purely quantitative superiority. The future is often no respecter of statistical data. We may frame this caveat in another way by suggesting that the analyst should not urge a security exchange unless either (1) the issue to be bought is attractive, regarded by itself, or (2) there is a definite contractual relationship between the two issues in question. Let us illustrate consideration (1) by two examples of comparisons taken from our records.

Examples: I. Comparison Made in March 1932.

Item	Ward Baking First 6s, due 1937. Price 85 ¹ / ₄ , yield 9.70%	Bethlehem Steel First & Ref. 5s, due 1942. Price 93, yield 5.90%
Total interest charges earned:		
1931	8.1 times	1.0 times
1930	8.2 times	4.3 times
1929	11.0 times	4.8 times
1928	11.2 times	2.7 times
1927	14.0 times	2.3 times
1926	14.5 times	2.6 times
1925	12.6 times	2.1 times
Seven-year average	11.4 times	2.8 times
Amount of bond issues	\$ 4,546,000	\$145,000,000*
Market value of stock issues (March '32 average)	12,200,000	116,000,000
Cash assets	3,438,000	50,300,000
Net working capital	3,494,000	116,300,000

* Including guaranteed stock.